
REVEALD

Regulatory Evaluation of ESG-Aligned Disclosure

Theoretical Framework

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1. Overview

The REVEALD project draws on three complementary theoretical perspectives to explain the adoption, quality, and consequences of mandatory sustainability reporting under the NFRD/CSRD regulatory regime. No single theory is sufficient to capture the full complexity of the phenomenon under study. Instead, the three theories operate at different levels of analysis and address distinct but interrelated aspects of the research questions:

Theory	Level of Analysis	Core Question Addressed
Institutional Theory	Macro — field/sector level	Why do companies converge towards similar reporting practices?
Legitimacy Theory	Meso — firm level	Why does disclosure quality vary between companies?
Agency Theory	Micro — market level	Why does mandatory disclosure affect financial performance?

Together they form a coherent multi-level framework spanning the regulatory environment, firm-level reporting behaviour, and market-level consequences — corresponding directly to the *Dynamics* and *Tensions* dimensions of the project.

2. Institutional Theory

2.1 Core Argument

Institutional theory, as developed by DiMaggio and Powell (1983), explains why organisations within the same field tend to become structurally similar over time — a process termed *institutional isomorphism*. Rather than optimising purely for efficiency, organisations respond to pressures from their institutional environment, including regulatory requirements, industry norms, and the behaviour of peer organisations.

DiMaggio and Powell (1983) identify three mechanisms driving isomorphic convergence:

Mechanism	Definition	Application to REVEALD
Coercive isomorphism	Formal and informal pressures exerted by other organisations in the field	The CSRD/ESRS framework is directly imposed by regulatory mandates on all companies in scope
Mimetic isomorphism	Imitation of successful peers under conditions of uncertainty	Companies uncertain about CSRD requirements copy disclosure practices of peers
Normative isomorphism	Diffusion of professional norms through networks of professional associations	The Big Four consulting firms and other industry consultants homogenise practices

2.2 Relevance for REVEALD

Institutional theory provides the macro-level foundation for understanding why mandatory regulation accelerates the convergence of sustainability reporting practices across companies, industries, and countries. It explains:

- Why the shift from voluntary (NFRD) to mandatory (CSRD) reporting produces measurable improvements in disclosure coverage and quality — coercive isomorphism raises the minimum standard.

- Why disclosure quality is expected to vary systematically across industries with different levels of normative professionalisation.
- Why cross-country variation in implementation timing (the basis of the DiD design) generates observable differences in reporting maturity between treatment and control groups.

2.3 Key Reference

DiMaggio, P.J. and Powell, W.W. (1983). *The Iron Cage Revisited: Institutional Isomorphism and Collective Rationality in Organizational Fields*. *American Sociological Review*, 48(2), 147–160. <https://doi.org/10.2307/2095101>

3. Legitimacy Theory

3.1 Core Argument

Legitimacy theory holds that organisations operate within a social contract with their environment, and that their continued existence depends on demonstrating alignment with prevailing social norms and expectations (Suchman, 1995). Legitimacy is defined as a generalised perception that the actions of an entity are desirable, proper, or appropriate within some socially constructed system of norms, values, beliefs, and definitions.

Suchman (1995) distinguishes three forms of legitimacy:

Form	Definition	Implication for Reporting
Pragmatic legitimacy	Based on the self-interest of the audience — stakeholders support the organisation to satisfy investment	Companies disclose sustainability information to satisfy investors
Moral legitimacy	Based on normative approval — the organisation complies with the right thing	Companies with strong sustainability performance use disclosure to gain approval
Cognitive legitimacy	Based on taken-for-grantedness — the organisation is widely perceived as a standard	Sustainability reporting becomes a standard expectation; non-disclosure is seen as abnormal

3.2 Symbolic vs. Substantive Reporting

A critical distinction for REVEALD is between *symbolic* and *substantive* legitimacy-seeking behaviour:

- **Symbolic reporting** — companies produce disclosures that appear compliant on the surface but lack genuine informational content (boilerplate language, vague targets, absence of metrics). This is consistent with low DQS scores despite technical compliance.
- **Substantive reporting** — companies make genuine changes to governance, risk management, and performance measurement that are reflected in high-quality, granular disclosures. This is consistent with high DQS scores and measurable improvements in sustainability indicators.

3.3 Relevance for REVEALD

Legitimacy theory explains firm-level variation in disclosure quality that institutional theory — which predicts convergence — cannot fully account for:

- Companies facing stronger stakeholder scrutiny (large firms, consumer-facing industries, high analyst coverage) are expected to produce higher-quality disclosures to maintain pragmatic and moral legitimacy.
- The transition from NFRD to CSRD raises the cognitive legitimacy threshold — what was acceptable under NFRD may no longer satisfy stakeholder expectations under CSRD.
- The Tensions dimension of REVEALD can be partially explained by the cost of legitimacy maintenance: companies investing in substantive reporting incur short-term costs but may gain long-term legitimacy benefits.

3.4 Key Reference

Suchman, M.C. (1995). *Managing Legitimacy: Strategic and Institutional Approaches*. *Academy of Management Review*, 20(3), 571–610.
<https://doi.org/10.5465/amr.1995.9508080331>

4. Agency Theory

4.1 Core Argument

Agency theory, as formalised by Jensen and Meckling (1976), analyses the relationship between a *principal* (e.g. shareholders, investors) and an *agent* (e.g. company management) in which the agent is hired to act on behalf of the principal. This relationship generates *agency costs* arising from three sources:

Cost Type	Definition
Monitoring costs	Costs incurred by the principal to observe and constrain agent behaviour
Bonding costs	Costs incurred by the agent to signal trustworthiness to the principal
Residual loss	Value loss resulting from divergence between agent decisions and principal interests

The central problem is *information asymmetry* — managers possess more information about the true financial and sustainability performance of the company than external stakeholders. This asymmetry creates incentives for opportunistic behaviour, including the strategic management of disclosures.

4.2 Mandatory Disclosure as an Agency Cost Reduction Mechanism

Mandatory sustainability reporting under the CSRD can be understood as a regulatory mechanism to reduce agency costs by:

- **Forcing information production** — companies must generate and disclose sustainability data they might otherwise withhold.
- **Standardising disclosure** — ESRS comparability reduces the ability of managers to present selectively favourable information.
- **Requiring assurance** — third-party verification (a dimension of the DQS) reduces the credibility gap between disclosed and actual performance.

4.3 Relevance for REVEALD

- Higher DQS scores reduce information asymmetry between management and investors, which is expected to lower the cost of capital and improve financial performance metrics over time.
- The moderating role of analyst coverage is directly grounded in agency theory — analysts function as external monitors whose presence reduces information asymmetry independently of mandatory disclosure.
- The non-linear relationship between disclosure quality and financial performance (H4) reflects the trade-off between short-term compliance costs (bonding costs) and long-term agency cost reduction benefits.

4.4 Key Reference

Jensen, M.C. and Meckling, W.H. (1976). *Theory of the Firm: Managerial Behavior, Agency Costs and Ownership Structure*. *Journal of Financial Economics*, 3(4), 305–360.
[https://doi.org/10.1016/0304-405X\(76\)90026-X](https://doi.org/10.1016/0304-405X(76)90026-X)

5. Integration: A Three-Level Framework

The three theories are not competing explanations but complementary lenses operating at different levels of analysis. Together they form a coherent multi-level theoretical framework for REVEALD:

Level	Theory	Mechanism	Effect on REVEALD
MACRO Field/sector	Institutional Theory	Coercive, mimetic, and normative isomorphism driven by CSRD/EU regulations	Provides regulatory context across companies
MESO Firm level	Legitimacy Theory	Symbolic vs. substantive legitimacy-seeking behavior in disclosure (DQS) within the regulatory field	Explains variation in disclosure quality
MICRO Market level	Agency Theory	Reduction of information asymmetry through disclosure	Higher disclosure quality improves financial performance

This cascade structure means that institutional forces set the regulatory context, legitimacy dynamics determine how firms respond within that context, and agency theory explains the market-level consequences of variation in response quality.

6. Mapping Theory to Research Questions and Hypotheses

The table below maps each research question and hypothesis to its primary and secondary theoretical foundation, making explicit the theoretical derivation of the empirical design:

RQ / Hypothesis	Primary Theory	Secondary Theory
RQ1: Has CSRD improved reporting quality?	Institutional (coercive isomorphism)	Legitimacy (symbolic vs. substantive)
RQ2: How does disclosure interact with financial performance?	Agency (information asymmetry)	Legitimacy (legitimacy costs)
RQ3: How does quality vary across countries and industries?	Institutional (normative isomorphism)	Legitimacy (stakeholder pressure)
H1: CSRD companies show higher DQS	Institutional	—
H2: Effect moderated by size, industry, country	Institutional + Legitimacy	—
H3: Higher DQS → improved sustainability indicators	Legitimacy (substantive reporting)	Agency (credible commitment)
H4: Non-linear DQS → financial performance	Agency	Legitimacy (compliance costs)

7. References

DiMaggio, P.J. and Powell, W.W. (1983). The Iron Cage Revisited: Institutional Isomorphism and Collective Rationality in Organizational Fields. *American Sociological Review*, 48(2), 147–160.
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